HEALTH LEVEL SEVEN INTERNATIONAL

FINANCIAL STATEMENTS

For the years ended December 31, 2021 and 2020

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors of
Health Level Seven International
Ann Arbor, Michigan

Opinion

We have audited the accompanying financial statements of Health Level Seven International (a nonprofit organization), which comprise the statements of financial position as of December 31, 2021 and 2020, and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Health Level Seven International as of December 31, 2021 and 2020, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Health Level Seven International and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Health Level Seven International's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Health Level Seven International's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Health Level Seven International's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Respectfully,

Bennett & Associates, CPAs PLLC

Ann Arbor, Michigan
June 30, 2022

	2021	2020
ASSETS		
Cash and cash equivalents	$ 7,171,500	$ 5,061,544
Investments	10,727,782	7,339,810
Accounts receivable	224,297	-
Grants receivable	87,635	322,542
Prepaid expenses	191,975	127,287
TOTAL ASSETS	$ 18,403,189	$ 12,851,183
LIABILITIES AND NET ASSETS		
LIABILITIES		
Accounts payable	$ 1,331,134	$ 484,156
Due to affiliates	22,851	78,609
Deferred revenue		
Membership dues	1,723,643	1,594,690
Registration and sponsorship fees	181,039	129,665
Project funds held for others	4,484,907	2,713,318
TOTAL LIABILITIES	7,743,574	5,000,438
NET ASSETS		
Without donor restrictions	10,634,096	7,825,745
With donor restrictions	25,519	25,000
TOTAL NET ASSETS	10,659,615	7,850,745
TOTAL LIABILITIES AND NET ASSETS	$ 18,403,189	$ 12,851,183

	2021	2020
NET ASSETS WITHOUT DONOR RESTRICTIONS		
REVENUES, GAINS, AND OTHER SUPPORT		
Membership dues		
Organizational	$ 3,152,467	$ 3,048,015
International affiliate	187,824	181,758
Individual	104,814	97,706
Meetings	1,375,530	1,073,913
Education and certification	1,529,532	1,258,412
Federal grant and contract revenue	2,371,760	1,564,790
Project management fees	285,030	236,215
Net investment return	900,722	269,959
Other revenues, gains and support	230,083	251,399
	10,137,762	7,982,167
Net assets released from restrictions	99,481	-
TOTAL REVENUES, GAINS, AND OTHER SUPPORT	10,237,243	7,982,167
EXPENSES		
Program services		
Membership, meetings and education	2,007,605	1,913,396
Standards development, PMO and tooling	594,659	481,610
Federal grant projects	2,085,628	1,845,938
	4,687,892	4,240,944
Supporting services		
Management and general	2,741,000	2,388,452
TOTAL EXPENSES	7,428,892	6,629,396
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTIONS	2,808,351	1,352,771
NET ASSETS WITH DONOR RESTRICTIONS		
Contributions	100,000	25,000
Net assets released from restrictions	(99,481)	-
CHANGE IN NET ASSETS WITH DONOR RESTRICTIONS	519	25,000
CHANGE IN NET ASSETS	2,808,870	1,377,771
NET ASSETS AT BEGINNING OF YEAR	7,850,745	6,472,974
NET ASSETS AT END OF YEAR	$ 10,659,615	$ 7,850,745

HEALTH LEVEL SEVEN INTERNATIONAL
STATEMENTS OF FUNCTIONAL EXPENSES
For the year ended December 31, 2021 with comparable totals for 2020

	Program Services				Supporting Services			
	Membership, Meetings and Education	Standards Development, PMO and Tooling	Federal Grant Projects	Total	Management and General	Total	Total 2021	Total 2020
Management fees	$ 1,034,432	$ 413,773	$ 256,382	$ 1,704,587	$ 850,533	$ 850,533	$ 2,555,120	$ 2,381,085
Legal fees	-	-	-	-	22,961	22,961	22,961	16,102
Accounting fees	-	-	5,150	5,150	56,999	56,999	62,149	21,529
Other professional fees	246,755	180,328	1,823,746	2,250,829	1,261,562	1,261,562	3,512,391	2,807,070
Advertising and promotion	3,218	-	-	3,218	167,610	167,610	170,828	165,581
Office expenses	-	-	-	-	13,348	13,348	13,348	33,506
Information technology	28,952	-	-	28,952	301,346	301,346	330,298	88,751
Travel	405	-	-	405	15,036	15,036	15,441	49,080
Conferences and meetings	121,741	263	350	122,354	-	-	122,354	331,524
Insurance	-	-	-	-	7,320	7,320	7,320	4,845
Fees and licenses	188,957	295	-	189,252	-	-	189,252	273,104
Distance eLearning	278,100	-	-	278,100	-	-	278,100	311,330
Credit card and bank fees	104,146	-	-	104,146	13,118	13,118	117,264	105,984
All other	899	-	-	899	31,167	31,167	32,066	39,905
Total expenses	$ 2,007,605	$ 594,659	$ 2,085,628	$ 4,687,892	$ 2,741,000	$ 2,741,000	$ 7,428,892	$ 6,629,396

HEALTH LEVEL SEVEN INTERNATIONAL
STATEMENTS OF FUNCTIONAL EXPENSES
For the year ended December 31, 2020

	Program Services				Supporting Services		
	Membership, Meetings and Education	Standards Development, PMO and Tooling	Federal Grant Projects	Total	Management and General	Total	Total 2020
Management fees	$ 855,888	$ 329,188	$ 384,013	$ 1,569,089	$ 811,996	$ 811,996	$ 2,381,085
Legal fees	-	-	-	-	16,102	16,102	16,102
Accounting fees	-	-	-	-	21,529	21,529	21,529
Other professional fees	115,449	150,321	1,456,214	1,721,984	1,085,086	1,085,086	2,807,070
Advertising and promotion	9,305	-	-	9,305	156,276	156,276	165,581
Office expenses	65	-	-	65	33,441	33,441	33,506
Information technology	6,184	-	-	6,184	82,567	82,567	88,751
Travel	9,742	-	723	10,465	38,615	38,615	49,080
Conferences and meetings	326,930	-	4,594	331,524	-	-	331,524
Insurance	-	-	-	-	4,845	4,845	4,845
Fees and licenses	271,003	2,101	-	273,104	-	-	273,104
Distance eLearning	311,330	-	-	311,330	-	-	311,330
Credit card and bank fees	-	-	-	-	105,984	105,984	105,984
All other	7,500	-	394	7,894	32,011	32,011	39,905
Total expenses	$ 1,913,396	$ 481,610	$ 1,845,938	$ 4,240,944	$ 2,388,452	$ 2,388,452	$ 6,629,396

	2021	2020
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in net assets	$ 2,808,870	$ 1,377,771
Adjustments to reconcile change in net assets to net cash from operating activities:		
Realized and unrealized (gain) loss on investments	(874,398)	(171,082)
Change in assets and liabilities:		
Accounts receivable	(224,297)	17,912
Grants receivable	234,907	(127,823)
Prepaid expenses	(64,688)	146,595
Accounts payable	846,978	83,494
Due to affiliates	(55,758)	54,779
Deferred revenue	180,327	143,989
Project funds held for others	1,771,589	1,191,020
Net cash from operating activities	4,623,530	2,716,655
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchases of investments	(7,736,344)	(7,018,717)
Proceeds from sales of investments	5,222,770	7,079,013
Net cash from (used for) investing activities	(2,513,574)	60,296
NET CHANGE IN CASH AND CASH EQUIVALENTS	2,109,956	2,776,951
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	5,061,544	2,284,593
CASH AND CASH EQUIVALENTS AT END OF YEAR	$ 7,171,500	$ 5,061,544

NOTE A - NATURE OF ORGANIZATION AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Organization

Health Level Seven International (HL7) is a not-for-profit organization that strives to improve the manner in which medical information is transmitted between computer systems. The common goal of HL7 members is to simplify the implementation of interfaces between computer applications utilized by different vendors. Since the implementation of the first HL7 health care standard for the exchange of information, the organization has continued to revise and enhance the computer interface standards.

Basis of Accounting

The financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America. Accordingly, revenues are recognized when earned and expenses are recognized as they are incurred.

Basis of Presentation

Net assets, revenues, gains, and losses are classified based on the existence or absence of donor or grantor imposed restrictions. Accordingly, net assets and changes therein are classified and reported as follows:

Net assets without donor restrictions – Net assets available for use in general operations and not subject to donor (or certain grantor) restrictions.

Net assets with donor restrictions – Net assets subject to donor- (or certain grantor-) imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity. Donor-imposed restrictions are released when a restriction expires, that is, when the stipulated time has elapsed, when the stipulated purpose for which the resource was restricted has been fulfilled, or both.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make accounting estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Cash and Cash Equivalents

HL7's cash and cash equivalents consists of cash on hand, checking accounts, and money market accounts. HL7 considers all investments with an original maturity of three months or less to be cash equivalents.

Accounts Receivable

Accounts receivable are stated at the amount management expects to collect on balances outstanding at year-end. Management closely monitors outstanding balances and writes off, as of year-end, all balances deemed uncollectible. No allowance for doubtful accounts was deemed necessary at December 31, 2021 and 2020.

Investments

Investment purchases are recorded at cost, or if donated, at fair value on the date of donation. Thereafter, investments are reported at their fair values in the statements of financial position. Net investment return/(loss) is reported in the statements of activities and consists of interest and dividend income, realized and unrealized capital gains and losses, less external and direct internal investment expenses.

Property and Equipment

Software and equipment acquisitions are recorded at cost if purchased, or estimated fair value if donated, at the date of donation. Depreciation is provided over the estimated useful lives of the assets and computed on the straight-line method.

Functional Allocation of Expenses

The costs of providing various programs and other activities have been summarized on a functional basis in the statement of activities and statement of functional expenses. Expenses are summarized and categorized based upon their functional classification as either program or supporting services. Specific expenses that are readily identifiable to a single program or activity are charged directly to that function. Certain categories of expenses are attributable to more than one program or supporting function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. The expenses that are allocated include management fees, which are allocated on the basis of estimates of time and effort.

Advertising

Advertising costs are expensed as incurred.

Income Taxes

HL7 is exempt from federal income taxes under Section 501(c)(6) of the Internal Revenue Code and has been classified as other than a private foundation. However, income, if any, from certain activities not directly related to HL7's tax-exempt purpose is subject to taxation as unrelated business income.

Revenue Recognition

HL7 recognizes revenue when it transfers promised goods or services to customers in an amount that reflects the consideration in which it expects to be entitled in exchange for those goods or services.

HL7's contracts generally do not contain variable consideration, contingent revenue or warranties, and contract modifications are generally minimal.

Education and Certification

Performance obligations related to education and certification revenue is transferred to the customer at a point in time as training is completed. The principal terms of sale are completion of training. Payment is due in full at the beginning of training; therefore, contract liabilities may exist at year end.

The contract terms are straightforward and do not involve significant judgment in the timing or amount of revenue recognized.

Federal Grants

Federal grants are considered conditional contributions. The principal condition attached to these awards is that HL7 must incur costs in accordance with the Office of Management and Budget's uniform guidance before costs can be reimbursed. Total amount promised under these grants for which conditions have not yet been fulfilled is $2,683,736 at December 31, 2021. HL7 exercises judgment regarding what constitutes a reimbursable cost per compliance with federal regulations.

Meetings

Revenue from meetings consists primarily of participant registrations and exhibitor fees. Performance obligations related to meetings is transferred to the customer at a point in time and is recognized at the conclusion of the meeting. Payment is generally due in full prior to the meeting; therefore, contract liabilities may exist at year end.

The contract terms are straightforward and do not involve significant judgment in the timing or amount of revenue recognized.

Memberships

Performance obligations related to membership revenue are transferred to the customer over time. Revenue is recognized ratably over the term of the membership, which is typically one year, with memberships beginning at various points during the calendar year. Payment is due in full at the beginning of the membership; therefore, contract liabilities may exist at year end.

The contract terms are straightforward and do not involve significant judgment in the timing or amount of revenue recognized.

Project Management Fees
Performance obligations related to project management fee revenue are transferred to the customer over time. Revenue is recognized when invoiced, which approximates recognition ratably over the period of the contract. Payment terms vary from payments due up front to payments due per an agreed upon payment schedule.

Contract terms vary, therefore, HL7 may exercise judgment based on individual contract terms whether it has satisfied its performance obligations and revenue recognition.

Disaggregation of Revenue

	2021	2020
Over time:		
Memberships	$ 3,445,105	$ 3,327,479
Project management fees	285,030	236,215
	$ 3,730,135	$ 3,563,694
Point in time:		
Education and certification	$ 1,529,532	$ 1,258,412
Meetings	1,375,530	1,073,913
	$ 2,905,062	$ 2,332,325

Contract Liabilities
Contract liabilities are shown on the statement of financial position as deferred revenue.

Contributions
Contributions, including unconditional promises to give, are recognized when received. All contributions are reported as increases in net assets without donor restrictions unless use of the contributed assets is specifically restricted by the donor. Amounts received that are restricted by the donor to use in future periods or for specific purposes are reported as increases in net assets with donor restrictions.

Subsequent Events
Subsequent events have been evaluated through June 30, 2022, the date the financial statements were available to be issued.

NOTE B - LIQUIDITY AND AVAILABILITY

Financial assets available for general expenditure, that is, without donor or other restrictions limiting their use, within one year of December 31, 2021 and 2020, comprise the following:

	2021	2020
Financial assets:		
Cash and cash equivalents	$ 7,171,500	$ 5,061,544
Investments	10,727,782	7,339,810
Accounts receivable	224,297	-
Grants receivable	87,635	322,542
Total financial assets	18,211,214	12,723,896
Less financial assets held to meet donor-imposed restrictions:		
Purpose-restricted net assets	(25,519)	(25,000)
Less project funds held for others	(4,484,907)	(2,713,318)
Amount available for general expenditures within one year	$ 13,700,788	$ 9,985,578

As part of its liquidity management plan, HL7 has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations become due. It invests cash in excess of daily requirements in stocks, government securities, mutual funds, certificates of deposit, and money market accounts.

NOTE C - FAIR VALUE MEASUREMENTS

Fair value refers to the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants in the market in which the reporting entity transacts such sales or transfers based on the assumptions market participants would use when pricing an asset or liability. Assumptions are developed based on prioritizing information within a fair value hierarchy that gives the highest priority to quoted prices in active markets (level 1) and the lowest priority to unobservable data (level 3). A description of each category in the fair value hierarchy is as follows:

- Level 1 – unadjusted quoted market prices for identical assets and liabilities in an active market that HL7 has the ability to access
- Level 2 – inputs, other than the quoted prices in active markets that are observable either directly or indirectly
- Level 3 – inputs based on prices or valuation techniques that are both unobservable and significant to the overall fair value measurements.

From time to time, changes in valuation techniques may result in reclassification of an investment's assigned level within the hierarchy.

Investments at fair value at December 31, 2021 and 2020 are summarized as follows:

At December 31, 2021:	Total	Quoted Prices in Active Markets for Identical Securities (Level 1)	Significant Other Observable Inputs (Level 2)
Certificates of deposit - brokered	$ 2,399,239	$ -	$ 2,399,239
Publicly held stocks, including domestic, international and preferred	5,764,324	5,764,324	-
US Government securities	2,526,050	2,526,050	-
Mutual funds and exchange traded funds	38,169	38,169	-
Total	$ 10,727,782	$ 8,328,543	$ 2,399,239

At December 31, 2020:	Total	Quoted Prices in Active Markets for Identical Securities (Level 1)	Significant Other Observable Inputs (Level 2)
Certificates of deposit - brokered	$ 2,849,121	$ -	$ 2,849,121
Publicly held stocks, including domestic, international and preferred	3,522,989	3,522,989	-
US Government securities	967,700	967,700	-
Mutual funds and exchange traded funds	-	-	-
Total	$ 7,339,810	$ 4,490,689	$ 2,849,121

The following is a description of the valuation methodologies uses for investments measured at fair value:

- Certificates of deposit are valued by the custodian based on using pricing models based on credit quality, time to maturity, stated interest rates, and market-rate assumptions.
- Publicly held stocks and government securities are valued at quoted market prices.
- Mutual funds and exchange traded funds are valued at the daily net asset value (NAV) reported by the fund, and are considered readily determinable.

HL7 believes its valuation methods are appropriate, the use of different methodologies or assumptions to determine fair value could result in a different fair value measurement at the reporting date.

Investment Return

The composition of investment return on HL7's investment portfolio for the years ended December 31, 2021 and 2020 is as follows:

	2021	2020
Without donor restrictions:		
Interest and dividends	$ 96,190	$ 142,287
Net realized and unrealized gain (loss) on investments	874,398	171,082
Total investment return	970,588	313,369
Less investment fees and expenses	(69,866)	(43,410)
Net investment return on statement of activities	$ 900,722	$ 269,959

NOTE D - NET ASSETS WITH DONOR RESTRICTIONS

Net assets with donor restrictions at December 31, 2021 and 2020 consists entirely of contributions restricted by the donor to support the implementation of the yet to be finalized (or Board approved) list of recommendations from the Re-Envisioning Task Groups to evolve how HL7 is organized and/or conducts its work.

Net assets totaling $99,481 were released from donor restrictions by incurring expenses satisfying the restricted purpose above for the year ended December 31, 2021.

NOTE E - CONCENTRATIONS

Concentration of Credit Risk in Financial Instruments

As of December 31, 2021, HL7 maintained its cash balances at one financial institution and one brokerage firm. The funds on deposit at the financial institution are insured by the Federal Deposit Insurance Corporation up to $250,000. The funds on deposit with the brokerage firm are insured by the Securities Investor Protection Corporation up to $250,000 per entity. At December 31, 2021, HL7 had uninsured cash balances of $6,451,299.

As noted on page 3, at year-end HL7 was holding $4,484,907 of project funds for others (e.g., ONC, Da Vinci, Argonaut and other FHIR Accelerator projects) for whom HL7 is not authorized to invest their funds and therefore produce a larger uninsured cash balance.

NOTE F - RELATED PARTY TRANSACTIONS

Honoraria

Several members of HL7's board of directors serve as speakers at its educational programs, and some are paid honorariums for their services. Honorarium payments to these individuals totaled $0 and $600 for 2021 and 2020, respectively.

Management Fees

Since 1991 HL7 has contracted with a third party for-profit association management company to manage its operations. Under the agreement, HL7 pays a fixed monthly management fee, and an incentive based on achieving certain metrics. For the year ended December 31, 2021, HL7 paid the third-party management company a total of $2,555,120, which includes an incentive payment of $100,000. For the year ended December 31, 2020, HL7 paid the third-party management company a total of $2,381,085, which includes an incentive payment of $100,000. The management company is majority owned by HL7's executive director.

Consulting Fees

In 2021, HL7 made payments of $110,000 to a consulting firm owned by a board member. At December 31, 2021, there was a liability of $251,500 to this consulting firm which is included in accounts payable on the Statement of Financial Position.

In 2020, HL7 made payments of $80,277 to another consulting firm owned by a board member. At December 31, 2020, there was a liability of $10,000 to this consulting firm which is included in accounts payable on the Statement of Financial Position.